important catch. The shadow of the Great Depression still fell across American finance. As recently as the mid-1950s, Citibank put more of its depositors' money into Treasury securities than it did into loans.

During Christmas week 1955, a panel of distinguished economists convened in New York to assess the disquieting state of American credit. The scholars observed that three-year auto loans had begun to proliferate (in the 1920s, the average maturity was one year) and that mortgage loans were available on suspiciously lenient terms. Geoffrey Moore, a leading authority on the business cycle, found parallels between the credit expansion of the mid-1950s and that of the 1920s, and he suggested that caution was the order of the day.

What is so notable about the gilded career of billionaire Michael R. Milken is that it happened at all. Its timing was a stroke of luck.

What was not then apparent was that the postwar relaxation of lending standards had only just begun. The process would continue for decades, and would reach extremes unimagined in the 1920s. You can make the case that this liberalization began with A. P. Giannini, founder of the Bank of Italy in turn-of-the-century San Francisco. Giannini had the radical notion that the workingman would actually repay a loan. His idea was visionary, and his bank—renamed BankAmerica—was once the largest in the country.

The founding of the Federal Reserve System in 1913, the advent of the General Motors Acceptance Corporation in 1919, and the ballooning of margin debt in the Coolidge bull market were the financial milestones of the 1910s and 1920s.

Nobody was in a mood for liberalization in the 1930s, and it will be noted that no Milken look-alike made his mark